

fifty million dollars' worth of bonds that never should have been underwritten); but this sort of thing, no more prevalent in Wall Street than in any other highly competitive business, is not what has caused you to lose your money. A little of it perhaps—but not your whole patrimony. (I can tell that is what you have blown by the sincerity of your indignation.)

If this seems an extreme statement, consider the history of the last two years or so, when the Securities and Exchange Commission has been functioning like a swarm of watchdogs.

Don't think that the SEC has not been tremendously effective. While its representatives cannot be everywhere, the fear of them literally is everywhere, and it has been a long time since I have seen an honest broker steal his customary eighth.

*Faced with explaining the huge losses
"investors" have suffered, they subconsciously
feel that it is better to be regarded as a Machia-
velli than as one who has spent his adult life
engaged in mumbo-jumbo.*

But a great many new securities were launched in '36 and '37. Before they were issued, they were scrutinized by the SEC (and everyone else in an official capacity except Sistie and Buzzie Dall). It all worked splendidly for a year, because there was a boom on. During a boom, securities issued by villains go very satisfactorily, exactly, in fact, as satisfactorily as all other securities. But, as soon as the recession started, down they went, just as though they had never been sprinkled with holy water. Toward the end of the bull market, some of the approved new securities set modest records for the amount of money an investor can lose within three weeks after his securities have been issued.